

Factories of the FUTURE

| By Nandini Vaish |

At a factory in Peenya Industrial Park near Bangalore, Udayant Malhoutra watches anxiously as half-a-dozen men in black load gargantuan metallic containers marked 'Broughton, England' into trucks. This is a make or break order for Dynamatic Technologies, a Rs 600-crore company which manufactures automotive, aerospace and construction equipment components. Broughton houses one of many wing-making facilities of aircraft manufacturer Airbus, and the Bangalore consignment contains the first batch of Flap Track Beams (FTBs), a mechanical component used in the A320.

"It is the end of one journey and the

start of another," says Malhoutra, CEO and managing director of Dynamatic. The new journey will take the company into the big league of commercial aircraft parts suppliers. Phase I, spread out over seven years, involved assembling the beams for 400 aircraft. Phase II would involve manufacturing many components that go into the beam at his Bangalore and Swindon, UK facilities. From being the only Indian supplier of FTBs for Airbus, Malhoutra would become the only global supplier next year.

From consumer durables in the 1980s and auto components in the '90s to the aerospace industry now, India is becoming an important link in the global supply chain. Not only are the world's top brands, like Nokia, Samsung, General Motors (GM), Nissan,

The globalisation of manufacturing is a field of opportunity for Indian industry. Adding value instead of just providing low-cost labour is the challenge in this transition.

Hyundai, Airbus and Boeing offshoring some of their manufacturing to India, but they are also increasing the volumes and complexity of parts sourced. "Any multinational looking to participate in the India story has to localise and innovate to deliver value. Indian manufacturing is driven less by cost efficiencies, and more by the need to localise and win in the fast-growing domestic market," says Arvind Pandey, partner and director, the Boston Consulting Group.

A study by consulting firm Capgemini, which surveyed over 150 companies in eight countries, says manufacturing will become increasingly global by 2020, with around 80 per cent of manufacturers having multi-country operations, compared to just over half today. The growing so-

SANJAY RAMACHANDRAN

DYNAMATIC TECHNOLOGIES Airbus

PRODUCT: Flap Track Beams used in the wings of A320 aircraft

EXPORTED TO: UK

EXPORTS: Rs 250 crore (2010-2015)

